

RUSSIAN FEDERATION

Table 1 **2019**

Population, million ^a	144.5
GDP, current US\$ billion	1689.5
GNI per capita, US\$ (Atlas method) ^a	10230
International poverty rate (\$19) ^b	0.0
Lower middle-income poverty rate (\$3.2) ^b	0.2
Upper middle-income poverty rate (\$5.5) ^b	2.3
Gini index ^a	37.5
School enrollment, primary (% gross) ^c	102.6
Life expectancy at birth, years ^c	72.1

WDI, MPO, Rosstat, and Bank of Russia.
Notes:

- (a) Most recent value (2018).
(b) Most recent value (2018), 2011 PPPs.
(c) Most recent WDI value (2017).

The baseline scenario GDP is revised downward to contract by 1.0 percent in 2020 due to the COVID-19 pandemic and falling oil prices. A rebound in 2021 and 2022 would be based on recovering oil prices and the pandemic's effects fading, but risks are firmly skewed to the downside. An adverse scenario could see 2020 GDP fall as much as 2.2 percent, further increasing poverty. Conversely, a modest growth in disposable incomes would contribute to a gradual recovery in the poverty rate in 2021 - 2022.

Recent developments

In 2019, economic growth decelerated to 1.3 percent year-on-year from 2.5 percent in 2018. Supported by continued retail credit expansion and increased government spending, consumer demand became the main engine of growth. With national projects getting off to a slow start, investments were sluggish. The 12-month consumer price inflation has been decelerating since April 2019, reaching 2.3 percent in February 2020.

Since June 2019, the Central Bank of Russia (CBR) continued loosening monetary conditions, cutting the key policy rate six times, to 6 percent in annual terms. The policy rate was unchanged on March 20, 2020, however, as short-term inflationary risks rose due to the COVID-19 pandemic and falling oil prices, thereby pausing the easing cycle. Corporate sector lending slowed, reflecting soft demand for credit in a low-growth environment. Unsecured consumer loan growth moderated slightly as CBR's regulatory measures started taking effect. On March 19, the CBR established a mechanism for additional FX sales on the domestic market. In case the price for Urals oil falls below USD25/bbl, the CBR will conduct FX sales to compensate for oil, gas and oil products exporters' revenue fallout. The CBR will use FX from the government's purchase of Sberbank shares.

On March 20, CBR announced a comprehensive package of measures designed to support business, consumers and the financial sector in the face of the

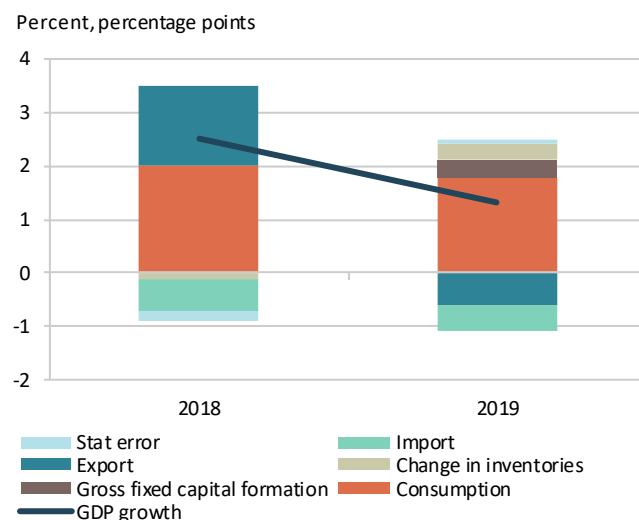
COVID-19 outbreak. The measures include special refinancing rates, favorable conditions for specific types of loans, and a decision to postpone the introduction of tighter rules for banks. For consumers affected by COVID-19 CBR allowed banks and microfinance organizations to restructure their loans, forgo penalties and avoid foreclosures on collateral.

The unemployment rate declined in 2019 to 4.6 percent, from 4.8 percent in 2018, as the average real disposable income rose by 0.8 percent. Under the national definition (a share of population with income per capita below the subsistence minimum level, 10,287 rubles per month in 2018), the poverty rate edged up slightly by 0.2 percentage points in the first half of 2019, on the back of lower real disposable incomes and an increase in the official poverty line by 2 percent in real terms. The poverty rate, using the upper-middle income country line (a share of population with per capita consumption below USD5.5/day in 2011 PPP, that is 4,476 rubles per month in 2018), declined from 2.5 percent in 2017 to an estimated 2.3 percent in 2018. Using the international poverty line of USD1.9/day, the poverty rate remained negligible, well below 1 percent.

Outlook

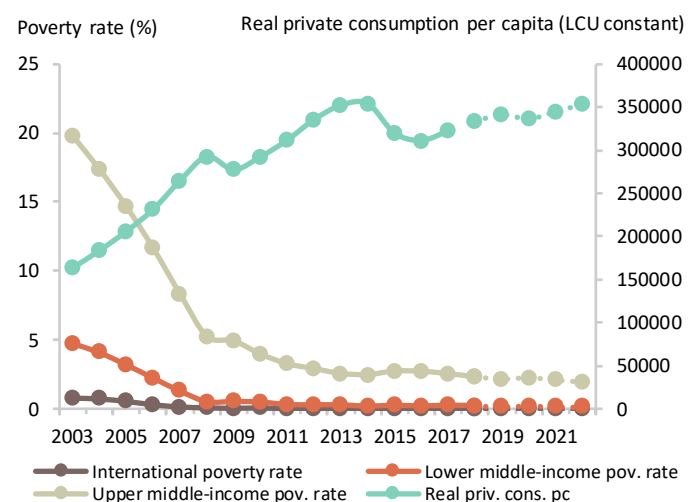
GDP is expected to contract by 1.0 percent in 2020, a five-year low. Most of the negative impact stems from the plunge in commodity prices amid the pandemic-driven lower external demand and the unwinding

FIGURE 1 Russian Federation / Real GDP growth and contributions to real GDP growth



Sources: Russia statistical authorities and World Bank staff calculations.

FIGURE 2 Russian Federation / Actual and projected poverty rates and real private consumption per capita



Source: World Bank.
Notes: see table 2.

of the OPEC+ arrangement. Elevated uncertainty and volatility has driven down the ruble 26 percent against the USD since January 1, 2020. With oil prices below their break-even level, the fiscal budget will show a deficit. The baseline forecast is predicated on several things: the pandemic being contained within 2020; on muted containment measures, fiscal support; and a rebound in commodity prices and economic activity in 2021. However, a more adverse scenario could further weigh on energy prices and economic activity. In such a case, the GDP in 2020 could decline by 2.2 percent, with consumers and investment demand affected more deeply. Despite this, Russia has sizable macro-fiscal buffers. Oil/gas fiscal revenue shortages arising from oil prices plunging below the fiscal rule threshold of USD42.4 are expected to be compensated by the NWF (USD150 billion or 9 percent of GDP as of March 1).

Additional social support aimed at families with children (higher benefits, higher maternal capital) will support the incomes of the bottom 20 percent of the population. GDP growth is projected to firm at between 1.6 and 1.8 percent in 2021-2022, as external conditions stabilize, and terms of trade improve for Russia. A contraction of GDP and incomes will lead to an increase

in moderate poverty in 2020 by about 0.1 percentage point. However, modest growth rates of GDP and inflation-indexed pensions will support disposable incomes and contribute to a gradual recovery in the poverty rate in 2021-2022. But, as many individuals lack formal employment or have low-productivity jobs and many households remain close to the poverty line, this points to a level of social vulnerability that will continue to require close monitoring.

Risks and challenges

Risks are firmly skewed to the downside, especially in 2020, to reflect the current volatility and uncertainty over the ultimate path of the COVID-19 pandemic, including its domestic impact, notably through trade, commodities, and financial linkages. Public sector risks are elevated, given the negative pressure on budget revenues from lower oil prices, negative growth, and deferred dividends from state-owned companies. Additionally, the ability to carry out further policy rate cuts in 2020 could be eroded by renewed financial market pressures and a currency depreciation pass-through to inflation.

Despite these challenges, Russia maintains sizable macroeconomic buffers to confront strong economic headwinds. The banking sector's funding and liquidity profiles are largely stable. Important macro-fiscal buffers include high international reserves (USD570.4 billion); a positive net external creditor position; a low public sector debt (15 percent of GDP); and low levels of FX corporate debt (about 19 percent of GDP). As of March 23, the government and the CBR have announced measures to ensure economic stability that include but are not limited to (i) continuously providing support for the ruble and FX liquidity; (ii) deferring tax payments for vulnerable sectors, notably air transport and tourism; (iii) allowing banks to restructure loans, for certain SMEs and individuals affected by COVID-19, and softening requirements for lending to the pharmaceutical and medical industries (iv) expanding subsidized lending program to SMEs, including individual entrepreneurs; (v) making online payments more accessible for households and support on-line retailers. However, more fiscal stimulus may be required, depending on how the pandemic unfolds in Russia, notably if it leads to stricter containment measures that would further reduce economic activity.

TABLE 2 Russian Federation / Macro poverty outlook baseline scenario

(annual percent change unless indicated otherwise)

	2017	2018	2019 e	2020 f	2021 f	2022 f
Real GDP growth, at constant market prices	1.8	2.5	1.3	-1.0	1.6	1.8
Private Consumption	3.7	3.3	2.3	-1.5	2.3	2.3
Government Consumption	2.5	1.3	2.8	0.0	0.5	0.5
Gross Fixed Capital Investment	4.7	0.1	1.4	-6.4	3.0	3.7
Exports, Goods and Services	5.0	5.5	-2.1	-3.0	2.0	2.2
Imports, Goods and Services	17.3	2.6	2.2	-8.0	3.8	4.2
Real GDP growth, at constant factor prices	1.9	2.5	1.4	-1.0	1.6	1.8
Agriculture	1.5	0.8	0.6	0.5	1.7	1.7
Industry	1.8	1.9	1.5	-0.8	1.4	1.9
Services	1.9	2.9	1.4	-1.2	1.7	1.8
Inflation (Consumer Price Index)	3.7	2.9	3.0	5.5	3.4	4.0
Current Account Balance (% of GDP)	2.1	6.8	4.2	1.1	2.6	2.3
Net Foreign Direct Investment (% of GDP)	-0.5	-1.4	-0.1	-0.1	-0.1	-0.1
Fiscal Balance (% of GDP)^a	-1.5	2.9	1.9	-2.2	-1.1	-0.5
Debt (% of GDP)	15.5	14.2	14.4	17.1	18.2	18.9
Primary Balance (% of GDP)^a	-0.6	3.8	2.7	-1.2	0.1	0.5
International poverty rate (\$1.9 in 2011 PPP)^{b,c}	0.0	0.0	0.0	0.0	0.0	0.0
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^{b,c}	0.3	0.2	0.2	0.2	0.2	0.2
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^{b,c}	2.5	2.3	2.1	2.2	2.1	1.9

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.

Notes: e = estimate, f = forecast.

(a) Fiscal and Primary Balance refer to general government balances.

(b) Calculations based on ECAPOV harmonization, using 2018 -HBS. Actual data: 2018. Nowcast: 2019. Forecast are from 2020 to 2022.

(c) Projection using neutral distribution (2018) with pass-through = 0.7 based on private consumption per capita in constant LCU.